

PERFORMANCE AGENT – NORD HOLDING GUIDETHROUGH

Object: Guidelines to structure the “Performance Agent” and try to provide a framework through which have a *standardized* view on quarterly fund performance, focusing on the key metrics for NORD.

Notes: The following exclude certain data consistency requirements we need to address, which we would like to discuss over the next alignment call.

MUST HAVES IN THE OUTPUT

1. Quick commentary on developments vs comparison quarter

- **New Investments - Platforms:** name of the target, activity, any indication around size (i.e., sales and EBITDA) and valuation multiple paid
- **New Investments – Add-ons:** name of the portfolio company completing the add-on, name of the target, activity, any indication around size (i.e., sales and EBITDA) and valuation multiple paid
- **Divestments / Exits:** any information around distributions – i.e., (full or partial) exits, disposals, refinancing, dividend recapitalizations, and effect on DPI – e.g., distributed x% vs fund size

2. Fund Performance Metrics – use Table

	QUARTERLY [t=0]	QUARTERLY [t=1]	Δ change QoQ – in %
Gross MoIC	X.Xx	X.Xx	XX.X%
Net MoIC	X.Xx	X.Xx	XX.X%
Gross IRR	XX.X%	XX.X%	XX.X%
Net IRR	XX.X%	XX.X%	XX.X%
DPI	X.Xx	X.Xx	XX.X%

- Add high level commentary on evolution – e.g., if there is an increase in DPI, it should refer to the distributions discussed in 1.

Notes:

- *Gross MoIC should be equal to Total Value (i.e., Realized + Unrealized or NAV) / Total Cost*
- *Net MoIC includes both realized proceeds (i.e., net DPI) and NAV -> incl. effect of carried interest and fees*
- *IRRs are generally mentioned in the reporting*
- *DPI is net distributions / net contributions -> incl. effect of carried interest and fees*

3. Company Performance Metrics – add Table

In CURm FYE	Entry [t=0]	LTM or YTD QUARTER [t=0]	LTM or YTD QUARTER [t=2]	QUARTER DATA [t=1]	QUARTER DATA [t=2]
Sales [A]	X.Xm	X.Xm	X.Xm	X.Xm	X.Xm
EBITDA [B]	X.Xm	X.Xm	X.Xm	X.Xm	X.Xm
EBITDA% [B/A]	XX.X%	XX.X%	XX.X%	XX.X%	XX.X%
Net Debt [C]	X.Xm	X.Xm	X.Xm	X.Xm	X.Xm
Leverage [C/B]	X.Xx	X.Xx	X.Xx	X.Xx	X.Xx

Commented [AG1]: If available, or should be great to understand which data is required to have this somewhat automatically calculated..

- Add valuation multiple on reference metric (e.g., EBITDA, Adj. EBITDA, etc..) and gross MoIC / gross IRR for the single company position and comparison vs other quarter in the analysis.
- Based on financial performance rate as **positive** / neutral / **negative** – (i) positive is EBITDA growing 10% vs comparison quarter and gross MoIC increase, (ii) negative is either: EBITDA declining 10% vs comparison quarter, or sales declining 15%, or margin deteriorating by 15%. Please use conditional formatting – metrics decreasing in red, improving in green.
- Build a top 2 and flop 2 with a short summary on reason (i.e., declining performance, declining MoIC)

Notes:

- *Add fiscal year end to ensure better data understanding.*
- *LTMs are more relevant than quarterly data standalone.*
- *If quarterly data are available, we can use them, but should be compared on previous year same quarter (i.e., seasonality effect) as well.*